Midterm Coursework

Professional Practice for Computer Scientists

Case Study Analysis:
NAD vs. Netflix and the Fight for Accessible Streaming

Executive Summary

On June 16, 2011, The National Association of the Deaf (NAD) filed a federal lawsuit against Netflix for violating the rights of deaf and hard of hearing people by failing to provide closed captions on its streaming content. In a landmark decision, the court decreed that even though Netflix operated in a digital space, it is a “place of public accommodation” and is therefore governed by the Americans with Disabilities Act (ADA).

Asserting that Netflix contravened the ADA framed digital space accessibility as a civil rights issue. The court’s decree that Netflix violated the civil rights of deaf and hearing impaired persons set a legal precedent that continues to shape businesses’ approach to inclusion and accessibility on digital platforms. Digital spaces must be as inclusive and equitable as physical spaces.

While it is apparent that the ADA needs to be updated to clearly and specifically address society’s increased utilization of digital spaces in everyday life, this case affirms that the ADA is still able to protect rights of accessibility in this digital age.

Introduction

On June 16, 2011, The NAD filed a federal lawsuit against Netflix for violating the rights of deaf and hard of hearing people by failing to provide closed captions for its streaming content. The NAD asserted that this was a violation of the ADA.

This was a bold accusation since the ADA was enacted before the internet became publicly available and thus the ADA had never been used successfully against a purely online business (NAD, 2012 Landmark Precedent). The NAD argued that even though Netflix operated in a digital space, it still should be considered a “place of public accommodation” and therefore should have the same protections as the ADA offered the public in physical spaces (NAD, 2011 Complaint, p.3).

The court sided with the NAD. "Netflix was ordered to caption its streaming video library by 2014, and to continue captioning content published thereafter" (3Play Media, 2021).

This case elevated digital inclusion to more than 'good practice', but rather an issue of civil rights. *NAD v. Netflix* established new legal precedent that put pressure on the broader tech industry to prioritize inclusion and accessibility for all users online.

However, this judgement also sparked criticism in support of Netflix' defence that the court was making policy rather than interpreting existing law. The ADA evidently needs to be modernized to specifically address accessibility in digital spaces rather than relying on courtroom debates to establish the intentions of legislation enacted before the internet became public.

Background

January 15, 2007, Netflix, Inc., which had already established itself as a successful mail-order DVD rental company, upended the video rental entertainment business with announcement of an online streaming video service "Watch Now" on their website Netflix.com (VdoCipher, 2025). In addition to mail-order DVDs, Netflix now offered an extensive inventory of movies and TV series that could be streamed on demand, to subscriber's living room TVs and computers. User convenience and an innovative unlimited subscription model made Netflix a very attractive entertainment option that grew to millions of subscribers.

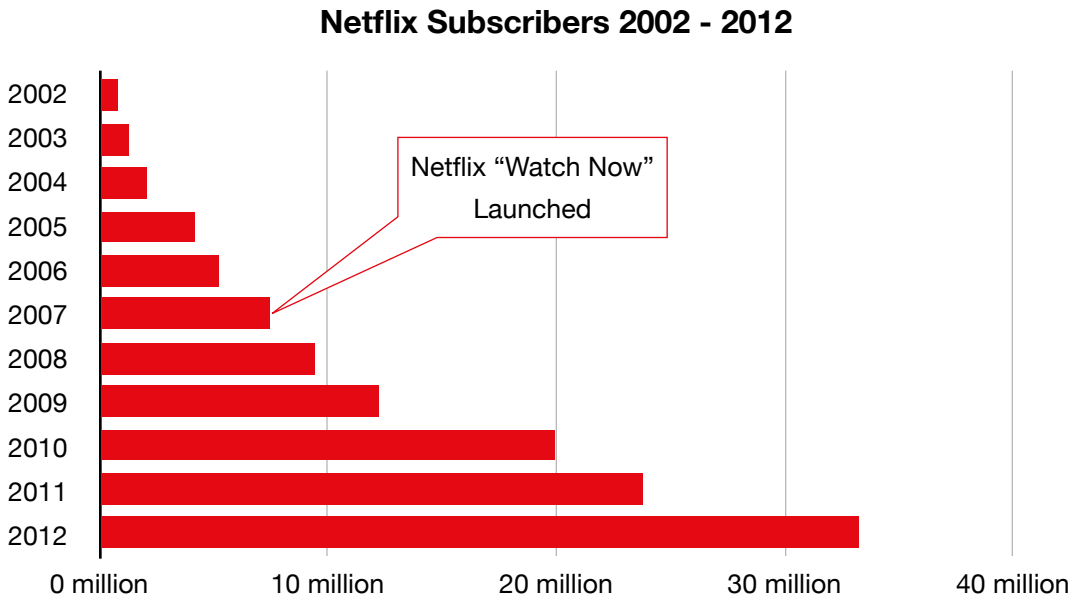


Figure 1: Netflix subscriber growth (2002 to 2012) Based on Annual Report Data

The NAD is the United States "premier civil rights organization of, by and for deaf and hard of hearing individuals" (NAD, n.d., *About Us*). On behalf of its members, NAD complained to Netflix that deaf and hard of hearing persons were unable to enjoy the same entertainment offerings as hearing persons because of the lack of closed captions in the vast majority of streamed content (NAD, 2011 Complaint, p.7). Netflix' Chief Product Officer, Neil Hunt, responded that providing captions was technically challenging, but that they were making efforts to expand a list of content that could be streamed with closed captions. (NAD, 2011 Complaint, p.6).

"According to the third-party database Instant Watcher, as of June 14, 2011, Netflix' Watch Instantly offered 509 streaming titles with captions out of a total 12,588 streaming titles, representing less than 5% of its total viewing content." (NAD, 2011 Complaint, p.6).

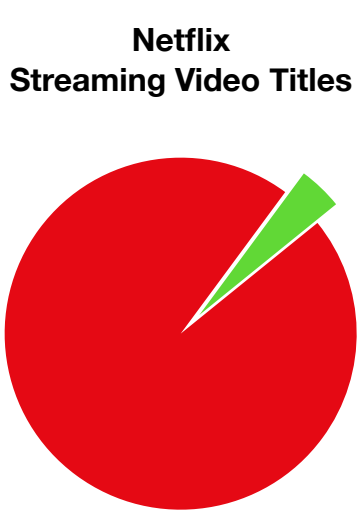


Figure 2: Captioned streaming titles on Netflix as of June 14, 2011 (data cited in NAD v. Netflix complaint, 2011, from Instant Watcher analysis)

In 2011 when NAD brought its case against Netflix, closed captions were only legally required for television broadcasts. There were no regulations forcing DVD manufacturers to include captions, however most major DVD releases included captions for accessibility and market reasons (NAD, n.d., *When is Captioning Required?*).

The Twenty-First Century Communications and Video Accessibility Act (2010) had been enacted to address the use of captions in video streamed over the internet, however, it only required captioning on "video programming delivered using Internet protocol that was published or exhibited on television in the United States with captions" (FCC, 2025, Closed Captioning of Internet Protocol-Delivered Programming, 47 CFR § 79.4), thus it did not apply to original or online-only content.

The NAD chose to frame their complaint against Netflix as a violation of the ADA. The ADA is a civil rights law passed in 1990 "that prohibits discrimination against people with disabilities in everyday activities" (U.S. Department of Justice, n.d., Introduction to the Americans with Disabilities Act). When the ADA was being drafted, the internet was not publicly available and streaming video was not technically feasible. Thus, the

ADA was largely interpreted to apply to physical spaces like stores, theatres, and restaurants.

By framing the lack of closed captions on streaming video as a civil rights violation, the NAD shifted the conversation from one of technical inconvenience and elevated it to one of equal access and dignity.

Chronology of Events

July 26, 1990	**ADA Becomes Law**	Americans with Disabilities Act (ADA) signed into law (United States Congress, 1990a).
October 15, 1990	**TV Decoder Act**	Television Decoder Circuitry Act signed into law. Required all TVs with screens 13 inches or larger to include closed caption decoding technology (United States Congress, 1990b).
May 22, 1993	**First Streamed Video**	The first film streamed on the internet is “Wax: Or the Discovery of Television Among the Bees (1992)”. Because of technology limitations, it was reduced to black and white and broadcast at 2 frames per second (Markoff, 1993).
August 7, 1997	**FCC Captioning Rules**	Federal Communications Commission adopts closed captioning rules for TV under section 713 of the Communications Act (FCC, 2025, 47 CFR § 79.1).
April 14, 1998	**Netflix.com Launched**	Netflix launched its website that allowed users to rent DVDs online (VdoCipher, 2025).
April 1, 2003	**Netflix Grows**	Netflix announced that it had reached 1 million subscribers (Netflix, Inc., 2003).
January 15, 2007	**Netflix Streaming Launched**	Netflix announced a streaming service called “Watch Now”. With about 1,000 titles available for streaming (VdoCipher, 2025).
October 8, 2010	**CVAA Becomes Law**	Twenty-First Century Communications and Video Accessibility Act (CVAA) was signed into law mandating that online video previously aired on TV with captions must also be captioned online (FCC, 2025, 47 CFR § 79.4).
June 16, 2011	**NAD Complaint Filed**	The National Association of the Deaf (NAD) filed a federal lawsuit against Netflix. Alleged that Netflix violated the ADA by failing to provide closed captions for its streaming content (Disability Rights Education and Defence Fund, 2012).
September 12, 2011	**Motion to Dismiss**	Netflix filed a motion to dismiss, arguing that the ADA does not apply to online-only services (National Association of the Deaf v. Netflix, Inc., 2012).
October 3, 2011	**DOJ Statement of Interest**	The U.S. Department of Justice (DOJ) filed a statement supporting the ADA’s relevance to digital platforms (National Association of the Deaf v. Netflix, Inc., 2012).
November 10, 2011	**Motion Denied**	After hearing Netflix arguments, its motion to dismiss was denied (Disability Rights Education and Defence Fund, 2012).
May 1, 2012	**Motion for Judgement**	Netflix filed a motion for judgement, arguing that the CVAA preempted the ADA (National Association of the Deaf v. Netflix, Inc., 2012).
June 11, 2012	**Opposition to Motion**	NAD submitted final opposition to Netflix motion for judgement (National Association of the Deaf v. Netflix, Inc., 2012).
June 19, 2012	**Court Ruling**	Judge Ponsor rules that the ADA applies to web businesses and that Netflix violated the ADA by failing to provide closed captions on its streaming content (Disability Rights Education and Defence Fund, 2012).
October 10, 2012	**Settlement**	Netflix agreed to caption 100% of its on-demand streaming content within 2 years (Disability Rights Education and Defence Fund, 2012).

Analysis of Accessibility Issues

Closed captioning is intended to increase accessibility and inclusion, by making sound in video accessible to persons who are deaf or hard of hearing. The Web Content Accessibility Guidelines (WCAG) set standards and best practices to guide the use of such tools. Properly implemented, closed captioning supports each of the four foundational principles of the WCAG.

Closed Captioning as it relates to the Foundational Principles of the WCAG

Perceivable	**Understandable**
Captions convert audio into text allowing users to perceive the full audio experience visually. • Music can be perceived by describing its tempo or emotive impact. (i.e. joyful). • Sound effects can be described (i.e. a large explosion in the distance). • Dialog is expressed as text. • Non vocal elements can be expressed (i.e. laughter, deep sigh).	Well-written captions improve the user's comprehension by: • Identifying speakers. • Using proper grammar, spelling, and punctuation. • Synchronizing accurately with events on screen.
Operable	**Robust**
Closed captions should be possible to turn on or off by the user giving them control over how they consume their media.	Using standardized formats for closed captions ensures they are consistent and available to users on a wide array of personal devices.

When not implemented properly, closed captions can become a barrier to accessibility.

- **Inaccurate captions**, often generated by voice recognition software, fail to meet WCAG Success Criterion 1.2.2, which requires captions to be accurate and equivalent to the spoken dialogue (World Wide Web Consortium, 2023).
- **Missing elements** such as non-speech sounds (i.e. laughter) or sound effects (i.e. a door creaks) cause users to miss out on emotional and contextual cues. The WCAG standard encourages including whatever information is necessary to provide the user

with an equivalent experience (World Wide Web Consortium, 2023, Understanding Success Criterion 1.2.2)

- Poor timing and synchronization leads to confusion for users and conflicts with WCAG principles: perceivable and understandable.
- Captions that are difficult to read due to small font size or low contrast violate the WCAG operable principle.

Impact Analysis

As its subscription base grew, the success of Netflix' streaming platform had a significant impact on how Americans began consuming entertainment media. According to the Sandvine *Global Internet Phenomena Report - Fall 2011*, "Real-Time Entertainment applications" were the "primary drivers of network capacity requirements," and "accounted for 60 percent of peak downstream traffic." "Netflix alone representing 32.7% of peak downstream traffic." (Sandvine, 2011, p.2)

Users were drawn the convenience of streaming video to a variety of devices and not having to "borrow" physical media that needed to be returned after use. Netflix' innovative subscription plan which allowed unlimited access to content for a set monthly fee also appealed to users.

Deaf and hard of hearing persons were excluded from this revolution in consumption as demonstrated by the example of NAD members Mr. and Ms. Gifford of Massachusetts who are deaf and have two hearing, teenage sons:

> *"Mr. Gifford and his wife refused to subscribe to Netflix because it does not provide full access. They believe that as parents it is their responsibility to monitor what their hearing children watch on television. Without captions, they lack that ability. Moreover, without captions they cannot watch programming as a family" (NAD, 2011 Complaint, p. 9).*

In its Complaint For Declaratory And Injunctive Relief the NAD asserts that by not incorporating closed captioning in their streaming media, Netflix interferes "with NAD members' rights to have full and equal access to society" (NAD, 2011 Complaint, p. 9). The Giffords' experience illustrates how accessibility barriers are not simply technical, they affect identity, parenting, and participation in everyday family life.

According to the *2021 World Report on Hearing*, over 1.5 billion people worldwide live with some degree of hearing loss. One third of all persons will experience hearing loss as they age (World Health Organization, 2021, p.xii). Captions also benefit hearing persons in noisy environments or in situations where sound must be muted.

The court's decree that Netflix violated civil rights set a legal precedent that continues to influence how digital platforms approach accessibility. Netflix agreed to caption all of its streaming content within two years (Disability Rights Education and Defence Fund, 2012).

This case firmly established that the ADA can continue to protect rights of accessibility in this digital age and affirmed the principle that digital spaces should be inclusive and equitable.

Legal Analysis

The NAD accused Netflix of violating the ADA by failing to provide equal access to its video streaming web service, "Watch Instantly". They asserted that Netflix' failure to provide closed captioning on all streaming content amounted to discrimination on the basis of disability against deaf and hearing impaired individuals.

NAD presented two core arguments in their complaint:

1) Netflix operated a "place of public accommodation" as defined in the ADA. Even though "Watch Instantly" was a website and had no physical location, it served the same public function as a movie theatre, or a movie rental store and therefore was required to meet the same ADA accessibility standards.
2) By operating a "place of public accommodation" and not providing closed captions, Netflix was discriminating against deaf and hard of hearing users who were excluded from accessing streamed content. This violated the ADA's requirement for "full and equal enjoyment" of goods and services by all persons.

When their motion for dismissal was denied, Netflix asked for summary judgement based on the following arguments:

1) Netflix does not operate a "place of public accommodation" that fits the physical examples described in the ADA.
2) Netflix does not own copyrights to its programming and therefore cannot be forced to provide closed captions (National Association of the Deaf v. Netflix, Inc., 2012).

3) The Twenty-First Century Communications and Video Accessibility Act of 2010 (CVAA) supersedes the ADA. It specifies only streaming videos that had been on broadcast television are required to have closed captioning.

The motion for summary judgement was denied. Judge Ponsor ruled in favour of the NAD based on the following conclusions:

1) The ADA did not, and could not, list online sites as a "place of accommodation" since they did not exist in 1990 when the act was formed. However the ADA's intent is evident. All individuals should be able to enjoy equal access to services available to the general public which, in our digital age, incudes websites. As such, Netflix was deemed to operate a "place of public accommodation" and required to meet ADA accessibility standards.
2) Netflix owns and operates the "Watch Instantly" website and this is enough to establish Netflix operates a "place of public accommodation". If Netflix wanted to claim that adding captions imposes an unreasonable burden, that would be a separate case.
3) "The CVAA was clearly intended to complement, not supplant, the ADA." (National Association of the Deaf v. Netflix, Inc., 2012, p.15). It specifies streaming videos that had been on broadcast television needed to be captioned but has no bearing on the captioning of other streaming media.

Lessons Learned & Recommendations

NAD v. Netflix established that the ADA covers more than physical establishments. According to a NAD press release, "The District Court of Massachusetts is the first court in the country to hold that the [ADA] applied to website-only businesses" (NAD, 2012, *Landmark Precedent*).

In our digital society, much of our daily life takes place in online spaces. This decision set precedent to use the ADA to protect the rights of individuals with disabilities in digital spaces the same way that they are protected in physical spaces. These rights of access should inform digital design in a fundamental way rather than simply being an afterthought. Ignoring the ADA's relevance to digital spaces precipitates risks of costly litigation, settlements and brand damage.

The benefits of accessible design go beyond helping individuals with disabilities. Captions also enhance accessibility for hearing persons in various circumstances such as noisy environments.

Unfortunately, the Department of Justice (DOJ) still has not issued clear, binding rules specifically addressing web accessibility. There were plans to update the ADA with input from the DOJ in 2018, however the Trump administration canceled them just a year earlier (3Play Media, 2021). This means the ADA's applicability to websites and mobile applications is still debated and not all courts have upheld that the ADA applies in every online situation.

While the outcome of this case certainly advanced universal access, it may have inadvertently impacted the quality of closed-captioning. Using the ADA to place the burden on content distributors rather than content creators, risks relegating captioning to a compliance task rather than a creative responsibility.

With the advent of AI and ever more intelligent tools, there are no longer significant technical barriers to providing universal access to digital products. The barriers lay with the commitments of companies themselves to the principles of universal access. Legislation like the ADA helps ensure companies stay focused on these principles of inclusion, however, it needs to be updated to clearly address challenges in today's digital world.

Thanks to the bold and forward thinking of the National Association of the Deaf, this case has provided an excellent foundation for future lawmakers to build on.

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